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In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2017 Cr.

Particulars	`	`	Particulars	`	`
			By Interest on investment	9,000	
			Add: Accrued interest	3,000	12,000

Balance Sheet as on 31st December, 2017

Liabilities	`	`	Assets	`	`
			Investment @ 12%		1,00,000
			Accrued interest		3,000

(x) Depreciation

The decrease in book value of fixed assets due to usage or passage of time is called depreciation. It is a loss to the business. Therefore, it must be written off from the value of asset. Generally, a certain percentage on the value of the asset is calculated as the amount of depreciation.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Depreciation A/c	Dr.		xxx	
To Concerned fixed asset A/c				xxx
(Depreciation provided)				

Transfer entry

Particulars		L.F.	Debit `	Credit `
Profit and loss A/c	Dr.		xxx	
To Depreciation A/c				xxx
(Depreciation transferred)				

Presentation in final accounts

In Profit and loss A/c	Depreciation is shown on the debit side.
In Balance Sheet	Amount of depreciation is deducted from concerned fixed asset on the assets side.

Tutorial note

When depreciation already appears in trial balance, it means journal entry is already made and asset account has been already reduced to the extent of depreciation. Hence, depreciation will be shown only in profit and loss account.

Example

The trial balance prepared on 31st March, 2016 shows the value of buildings as `50,000. Adjustment: Depreciate buildings @ 10% p.a.

Amount of depreciation = `50,000 x 10/100 = `5,000. The adjusting entry is: